

BEFORE THE
FEDERAL MARITIME COMMISSION

DOCKET NO. 24-19

PELOTON INTERACTIVE, INC.,

COMPLAINANT,

v.

FLEXPORT INTERNATIONAL LLC

RESPONDENT.

**COMPLAINANT PELOTON INTERACTIVE, INC.'S
EXPEDITED SECOND CROSS-MOTION TO STRIKE**

Complainant Peloton Interactive, Inc. (“Peloton” or “Complainant”) moves pursuant to Federal Maritime Commission (“FMC” or “Commission”) Rules of Practice and Procedure 46 C.F.R. §§ 502.69(a) and 502.69(d) to strike as waived Respondent Flexport International LLC’s (“Flexport”) Motion to Strike Expert Report of Gregory E. Smith (“Motion”).

Peloton seeks relief on an expedited basis because as currently constituted, the Motion would be required to be responded to on Tuesday, September 23, 2025, right in the middle of the critical two-week period when Peloton is preparing its reply to the omnibus Flexport opposition to Peloton’s initial brief. Because the Motion was improperly filed and impacts Peloton’s reply brief process and timing considerably, it is prejudiced by Flexport’s action and allowing a full seven days for this issue to be determined would be one day after the Motion opposition is due.

ARGUMENT

Separately from the expedited basis for relief, substantively, if the arguments contained in the Motion are not deemed waived, the Motion should nonetheless be stricken as procedurally improper, because it was not permitted by the Presiding Officer's scheduling order dated June 30, 2025 ("June 30 Order") or in the briefing schedule set by the Presiding Officer and circumvents the mandatory page limitations set forth in the FMC's Rules of Practice and Procedure for the merits brief.

Due to the short deadline for submitting both a reply to the Motion and Flexport's briefing, Peloton respectfully requests that the Presiding Officer address and rule on this matter expeditiously pursuant to Rules 502.10 and/or 502.102, 46 C.F.R. §§ 502.10 and 502.102.

At 11:59 p.m. E.T. on September 15, 2025, Flexport filed the first portion of its merits submissions—including the Opposition Brief, Proposed Findings of Fact, and Responses to Peloton's Proposed Findings of Fact. Then, at 12:12 a.m. ET on September 16, 2025 – past the extended deadline for all submissions – Flexport filed the separate Motion to Strike the Expert Report of Gregory E. Smith ("Supplemental Expert Report") ("Flexport's Motion"). Peloton now moves to strike Flexport's Motion on several grounds, enumerated below.

First, Flexport's Motion should be stricken as improper because the arguments contained therein are untimely and therefore waived. On May 19, 2025, Peloton served the Supplemental Expert Report on Flexport's counsel.¹ On May 28, 2025, Peloton entered the Supplemental Expert Report into the record of these proceedings as an exhibit to its Opposition to Respondent's Motion

¹ The Supplemental Expert Report was timely and served before the close of discovery. Moreover, it was supplemented based on discovery from the Portal Events Files produced to Peloton on December 13, 2024, April 6, 2025, and April 25, 2025. Flexport's supplemental production of its Portal Events Files occurred only after the conclusion of document production, fact depositions, and initial expert reports.

for Sanctions for Failing to Comply with Discovery Orders (“Opposition to Motion for Sanctions”). *See* Opposition to Motion for Sanctions, Dkt. 66 at 5 (Exhibit 2). Despite the Supplemental Expert Report being added to the record, Flexport waited nearly four months before seeking to strike it.

The Presiding Officer relied on the substance of the Supplemental Expert Report in the June 30, 2025 Order on Pending Motions and Complainant’s Unilateral Status Report and Amended Scheduling Order (“June 30 Order”), stating:

The undersigned finds that Peloton’s supplemental responses to Interrogatory Nos. 12, 13, and 14 are sufficient and comply with Judge Crovella’s third discovery order dated May 15, 2025, in that the answer to the question posed is provided in the supplemental expert report of Gregory E. Smith, **which contains his detailed analysis of the Portal Events filed produced by Flexport.**

See June 30 Order, Dkt. 72 at 8, 10, 23-24 (emphasis added). If Flexport had any objections to the Supplemental Expert Report, it should have raised them when Peloton relied on the report as a motion exhibit in this proceeding several months ago and before briefing commenced. *See First Nat’l Bank v. Burton M. Saks Constr. Corp.*, 70 F.R.D. 417, 419 (D.V.I. 1965) (finding that a motion to strike filed six months late would have prejudiced defendant). Further, the Supplemental Expert Report was substantially justified and does not cause harm or prejudice as it relies principally on Flexport’s own documents in the Portal Events Download, as belatedly produced. Therefore, Flexport’s Motion to Strike at this late stage of the proceedings should be deemed waived.

Even if Flexport’s arguments regarding the Supplemental Expert Report are not deemed waived on the above grounds, the Motion itself should still be stricken as procedurally improper, circumventing both the Commission’s procedural rules and the express directives of the Presiding Officer. The June 30 Order explicitly instructed the parties—*on three separate occasions*—that

any unresolved discovery disputes were to be addressed *within the briefing itself*. See Dkt. 72 at 6, 25, 26.² Despite this clear directive, Flexport filed the subject 13-page Motion to Strike separately, and in addition to, its 79-page Opposition Brief. This maneuver effectively expands Flexport’s briefing to 92 pages—well beyond the 80-page limit—without authorization and in direct contravention of both Commission Rule 214³ and the June 30 Order. Moreover, this further contravenes the Presiding Officer’s directive that these types of issues be included in briefing: “objections and requests to exclude... evidence.” Dkt. 72 at 6, 25, 26 (ALJ June 30, 2025).

Flexport’s failure to seek leave to exceed the 80-page limit constitutes a procedural violation and an improper attempt to extend the page limitations, warranting a motion to strike. See *20230930-DK-Butterfly-1, Inc. f/k/a Bed, Bath & Beyond Inc. v. Orient Overseas Container Line Limited and OOCL (Europe) Ltd.*, Dkt. No. 23-02, 2025 WL 304516, at *2 (ALJ Jan. 23, 2025) (Order on Respondents’ Motion to Strike Brief and Revised Briefing Schedule) (striking 33 pages of Complainant’s Proposed Findings of Fact as an improper extension of the page limitations applicable to its Initial Brief because they contained improper conclusions of law). This tactic unfairly affords Flexport an additional 12 pages of argument that Peloton was not permitted, allowed Flexport to expand arguments in its main brief that should not have been to account for

² Notably, the Presiding Officer’s admonition to handle further discovery disputes in the merits briefing was given a month after Peloton included the Supplemental Greg Smith Report as an exhibit to its Opposition to Motion for Sanctions. Accordingly, Flexport had ample time to move to strike or otherwise object to Peloton’s entering the Greg Smith Report into the record *prior to* the June 30 Order but chose not to do so.

³ 46 C.F.R. § 502.214(e) unambiguously limits briefs to eighty (80) pages, exclusive of the table of contents, table of authorities, and certificate of service, unless a party obtains advance leave to exceed that limit by showing good cause and filing an application no later than seven (7) days before the brief is due. 46 C.F.R. § 502.214(e). Flexport made no such application in this proceeding.

this purported expert discovery issue, and disregards the Presiding Officer's explicit instruction that no further individually filed discovery motions would be entertained after the June 30 Order.

Flexport's Motion is further procedurally improper for failure to meet and confer in good faith. No meet and confer occurred, and the Motion lacks any clear indication of when or how this required meeting occurred—there are no dates, no substantive details, and no demonstration of a genuine effort to confer in good faith. On September 16, 2025, Peloton reached out to Flexport's counsel, urging them to withdraw their Motion to Strike due to its procedural impropriety and the absence of a proper meet and confer. Flexport responded by attaching a May 21, 2025 email⁴—without explanation—implying that this correspondence constituted the requisite meet and confer. However, the May 21 email merely stated Flexport's intent to move to strike the Supplemental Expert Report and referenced the parties' virtual meeting on the same day. Notably, the discussions during that May 21st meeting focused on Flexport's Motion for Sanctions, which was filed later that same day, rather than on the present Motion to Strike.⁵ Peloton respectfully submits that a solitary email, sent almost four months before the relevant Motion with no later follow-up correspondence, is not a good faith effort to meet and confer as required by the Commission's rules. 46 C.F.R. § 502.71(a) ("Before filing a non-dispositive motion as defined in § 502.69(g) of this subpart, the parties must attempt to discuss the anticipated motion with each other in a good faith effort to determine whether there is any opposition to the relief sought").

Lastly, Flexport was not prejudiced by service of the Supplemental Report. The report was based squarely on materials that Flexport itself produced information that has always been within Flexport's possession. Flexport had ample opportunity within the discovery period to submit a

⁴ Peloton Appendix, F-0134-F-0136.

⁵ Dkt. No. 63 at 11.

rebuttal expert report yet elected not to do so. Furthermore, although Flexport requested the deposition of Mr. Smith, they ultimately did not attend, despite Peloton's efforts and resources expended to prepare Mr. Smith and the associated costs of cancellation. Peloton Appendix, F-0123-F-0133.

CONCLUSION

Peloton respectfully requests that the Presiding Officer strike Flexport's Motion to Strike the Expert Report of Gregory E. Smith in its entirety as waived and/or procedurally improper. In the alternative, should the Presiding Officer decline to strike Flexport's Motion to Strike, Peloton respectfully requests that the deadline for its opposition to the Motion be held in abeyance until after Peloton files its Reply Brief.

Peloton further requests that, pursuant to FMC rules governing non-dispositive motions, it be afforded seven (7) days following the filing of its Reply Brief to submit its opposition to Flexport's Motion to Strike.

In addition, Peloton respectfully requests at least a two-day (2) extension of the deadline to file its Reply Brief, currently due September 29, 2025. This extension is warranted because Peloton now faces an additional 13 pages of argument and has had to redirect significant time and resources these last two days of (September 16 and 17), to address Flexport's improper Motion to Strike—materially impacting its ability to prepare the Reply Brief, which remains Peloton's priority.⁶

⁶ Moreover, Flexport's Appendix failed to include all documents it purported to rely upon. Specifically, Supplemental Appendix 1 to the Declaration of Ryan Tanner, dated September 15, 2025 (RX6), was referenced but not provided. As a result, on September 17, 2025, Peloton was compelled to contact Flexport's counsel directly to obtain the missing document. At 1:44 p.m. EST, Flexport's counsel uploaded the document to its share site, and at 1:48 p.m. EST, notified Peloton's counsel via email that it had been added to the folder. Because the document was only uploaded today by Flexport counsel, the Presiding Officer is unlikely to have received a copy.

Peloton further requests that these proposed extensions will ensure Peloton is afforded the opportunity to prioritize its Reply Brief and subsequently address Flexport's additional arguments in a fair and orderly manner.

Pursuant to 46 C.F.R. § 502.71(a), on September 16, 2025, counsel for Peloton met and conferred with counsel for Flexport by email regarding Peloton's intention to file the instant Cross-Motion to Strike. In response, Flexport's counsel did not advise its position on Peloton's Motion to Strike aside from replying with a blank email with the May 21 email attached.

Dated: September 17, 2025

HOLLAND AND KNIGHT LLP

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Peloton is therefore attaching it as a courtesy. This is one example of a document relied upon by Flexport in its papers that was produced two days after the deadline of September 15, 2025. Peloton's review is ongoing, and it reserves all rights to identify and address any additional deficiencies in Flexport's submission as they become known.

CERTIFICATE OF SERVICE

The undersigned hereby certifies that on the date which appears below, the undersigned served the attached document on counsel for Respondent at the following email addresses:

SPECTOR RUBIN, P.A.
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Dated: September 17, 2025

/s/ Kristine O. Little
Kristine O. Little